FROM THE

EDITOR-IN-CHIEF

Jobs are the lifeblood of an economy. High unemployment and soaring prices are like bad cholesterol that clogs the arteries of economic growth, causes immense misery to citizens and spells doom for political fortunes. The inconvenient truth for the Modi government is that the Indian economy had already been on the decline before the pandemic hit and almost went into rigor mortis when it did strike.

Consider this: in the fourth quarter of 2019-20, just before Covid-19 set in, GDP growth had plunged to an underwhelming 4 per cent from the peak of 8.6 per cent two years earlier. The pandemic months saw an even steeper fall, with GDP growth for the 2020-21 fiscal year turning a negative 7.3 per cent. For the first time in 40 years, the economy had slipped into a recession.

As the economy haemorrhaged, unemployment soared. The Centre for Monitoring Indian Economy (CMIE) estimated that 10 million people lost their jobs in the second wave of the pandemic alone. Unfortunately, even as the economy recovered in the current financial year, with GDP touching 8.4 per cent in the second quarter, the Ukraine war saw international oil and commodity prices hit the roof, leading to a spurt in inflation that once again threatened to derail India's fragile economy.

Joblessness has always dogged India's progress, but it has become endemic in the past decade. According to the NSSO, unemployment was already at a 45-year high of 6.3 per cent in 2017-18. But the onslaught of the pandemic pushed it to a peak of 24 per cent in May 2020, the CMIE reports. It has eased since but still hovers around an unhealthy 7 per cent. The damage has already been done. CMIE reports a massive 46 per cent decline in jobs in manufacturing, which accounts for 17 per cent of the economy. Told in numbers, the story reads even starker. Manufacturing jobs shrunk from 51 million in 2016-17 to 27.3 million in 2020-21, far short of the Centre's target of increasing manufacturing employment to 100 million. The pandemic also led to companies laying off workers due to lack of demand or to cut costs. The unorganised sector, which includes micro and small firms and contributes 30 per cent to the GDP, was worse off. Though there is no accurate estimate of exactly how many jobs were lost, it is certainly in the tens of millions.



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However, even these shocking figures do not capture the ground reality. Unemployment is measured by the number of people seeking jobs as a percentage of the total working population. But with so many living on the margins in India, they cannot afford to be without a job. So they take up occupations like street vending. Disguised unemployment is another chronic issue. Particularly in agriculture, which employs 45 per cent of the workforce but contributes only 20 per cent to the GDP. There is no escaping the harsh truth: India faces a grievous unemployment crisis.

The uncomfortable result is that, in these troubled times, a government job of any kind has become much coveted for the stability it promises. Sadly, it is a chimera. It was evident in the thousands of angry young Indians setting trains on fire this January because of malpractices in recruitment for government jobs. According to CMIE, while there are 53 million jobless Indians out there, the government employs just 4 million people in both the Centre and in the states and is simply unable to meet the ever-growing demand.

This has resulted in an alarmingly disproportionate number of people applying for a single post, with most of the applicants being overqualified for the job. For instance, in December 2021, when the Gwalior district court announced 15 openings for posts such as peons, gardeners, cleaners and drivers, it received over 11,000 applications. The required qualification was a Class 10 pass, but most of those who applied were graduates, postgraduates and even MBAs. This is not an aberration. In 2018, some 3,700 Ph.D. holders and 50,000 graduates applied for 62 posts for messengers in the Uttar Pradesh police. There are scores of such examples. They reflect the mismatch in quantity and quality. It is tragic that after 75 years of Independence, thousands still despair over finding a job.

The tale of woe does not just end here. The dark irony is that large vacancies in government jobs remain unfilled. In fact, between 2014 and 2020, vacancies doubled from 421,658 to 872,243. But the central government has hired only half of what it should have in the past five years. Of these, nearly 30 per cent of the hirings owed to a railway recruitment drive in 2019-20.

One of the primary reasons is that the recruitment process is daunting, chaotic and, in many instances, just plain corrupt. The anger that we saw erupt on the eve of Republic Day this year was because the Railways conducted an exam in 2019 for 35,281 non-technical positions like clerks, guards and timekeepers, attracting a whopping 12.5 million applications. But confusion reigned over both the qualifying criteria and cut-offs, in addition to delays in announcing the results, which led to frustration, rage and violence. Elsewhere, there have been reports of widespread malpractices—from leaked question papers to political nepotism. On top of all this, most governments have put a squeeze on costs to achieve greater efficiency.

Deputy Editor Kaushik Deka, who put our cover story together with bureau reports, has exhaustively dealt with the key issues behind the hunger for government jobs and the mess in filling these posts. There is no way the government can solve the dire problem of unemployment by increasing the number of posts. But the least it can do is streamline the process of filling them. The larger issue of unemployment can be tackled only through a massive surge in economic growth. That is possible only if the Modi government provides an enabling policy environment that can stimulate rapid growth in the private sector.

The issue requires some urgency as, with our birth rates dropping, the window to capitalise on our much-touted demographic dividend of younger workers is beginning to shrink. We need to rapidly generate more jobs, but not government ones. Or else we are staring at a demographic disaster.



(Aroon Purie)